OBLIQUE TAX INTELLIGENCE

UAE Corporate Tax

AE · ruleset 2026.2

Corporate Tax payable	Taxable income	Effective rate on accounting profit
AED 50,400.00	**AED 2,060,000.00**	**2.52%**
Regime	Post-tax profit	Losses carried forward
qfzp	**AED 1,949,600.00**	**AED 0.00**

Working paper

Step	Rule	Amount
Accounting profit before tax		2,000,000.00
Add: 50% of entertainment expenditure 120,000 x 50%	ae.ct.entertainment	60,000.00
Taxable income before loss relief		**2,060,000.00**
Taxable income		**2,060,000.00**
QFZP de minimis cap on non-qualifying revenue (lower of 5% revenue and AED 5m)	ae.ct.qfzp	1,000,000.00
Qualifying Income taxed at 0%	ae.ct.qfzp	**1,500,000.00**
Non-qualifying taxable income at 9% (no AED 375k zero band for a QFZP) **560,000 x 9%**	ae.ct.qfzp	**50,400.00**
Corporate Tax payable		**50,400.00**

Inputs as entered

Accounting profit	2000000
Revenue	20000000
Non deductible expenses	0
Exempt income	0
Entertainment expenses	120000
Unrealised gains capital	0
Other adjustments	0
Net interest expense	0
Brought forward losses	0
Foreign tax credit	0
Is free zone person	True
Elect qfzp	True
Qualifying income	1500000
Non qualifying revenue	900000
Prior periods within threshold	unknown
Mne group revenue eur	0
Scope confirmed	True

Special regime	no

Rules applied, review status and sources

ae.ct.entertainment — Only 50% of entertainment, amusement and recreation expenditure incurred for customers, shareholders, suppliers or other business partners is deductible.
Status: Verified · Source: Federal Decree-Law No. 47 of 2022, Art. 32 · Effective 2023-06-01

ae.ct.qfzp — A Qualifying Free Zone Person pays 0% on Qualifying Income and 9% on non-qualifying taxable income. The AED 375,000 zero-rate band does not apply to a QFZP. Non-qualifying revenue must not exceed the lower of 5% of total revenue or AED 5,000,000 (de minimis); breaching it removes QFZP status for the period and the following four periods.
Status: Verified (secondary sources) · Source: Cabinet Decision No. 100 of 2023; Ministerial Decision No. 265 of 2023 (replaced 2025) · Effective 2023-06-01
De minimis figures confirmed across multiple advisory sources citing Ministerial Decision No. 265 of 2023, reported as replaced by Ministerial Decisions No. 229 and 230 of 2025 with the same test. Confirm current decision text.

ae.ct.filing — Corporate Tax return and payment due within 9 months of the end of the tax period.
Status: Verified · Source: Federal Decree-Law No. 47 of 2022, Art. 48 and 53 · Effective 2023-06-01

Assumptions

Taxable Person is a UAE Resident juridical person with a single 12-month tax period. Accounting profit is prepared under IFRS on an accrual basis. No Tax Group, no transitional relief elections and no treaty positions are modelled. Figures in AED.

Desktop calculator

A desktop estimate from your inputs and the rules shown. Not advice. For your numbers, talk to Oblique Consult. Your inputs are not stored.

For a reviewed position based on your facts, contact Oblique Consult: obliqueconsult.com · info@obliqueconsult.com · +971 50 687 3135

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